

as it is precise. CEO performance should be based on the long-term building of enduring intrinsic value, which is as real as it is imprecise. (Now there's a paradox!)

Basing compensation on increasing the intrinsic value of business would be a far better way than flighty stock prices to reward executives for durable long-term performance. For example, CEO compensation might be based on corporate earnings growth, corporate cash flow (even better, for it is far more difficult to manipulate), dividend growth (ditto), and return on corporate capital relative to peers and relative to corporations as a group (say, the S&P 500). Such measurements should be taken only over an extended period of time. What's more, CEO incentive pay should be subject to exceeding a sort of hurdle rate, earned only when the firm's returns exceed the corporation's cost of capital. To be sure, those standards are challenging, but meeting challenges is what real business success should be all about.

Performance, Not Peer Groups

Much of the responsibility for our flawed system for CEO compensation can be attributed to the rise of the compensation consultant. It must be clear, first, that compensation consultants who consistently recommend lower pay or tougher standards for CEO compensation would likely not hold on to many clients. To make matters worse, the well-known methodology of consultants—grouping CEOs into peer groups measured in quartiles—leads inevitably to a ratchet effect.

It has been observed, correctly I believe, that boards of directors typically fall in love with their CEOs (at least until something big goes wrong). When a board finds that its own CEO's pay reposes in the fourth quartile, it raises his (or her) compensation to bring it into, say, the second quartile, which, of course, drops another CEO into the fourth quartile. And so the cycle repeats, onward and upward over the years, almost always with the encouragement of the ostensibly